THE INVESTMENT POLICY STATEMENT

Learning Outcomes

- describe the reasons for a written investment policy statement (IPS)
- describe the major components of an IPS

Portfolio planning can be defined as a program developed in advance of constructing a portfolio that is expected to define the client's investment objectives. The written document governing this process is the investment policy statement (IPS). The IPS is sometimes complemented by a document outlining policy on responsible investing—the broadest (umbrella) term used to describe principles that typically address one or more environmental, social, and governance themes that an investor requires to be considered when evaluating whether to invest in a particular company, as well as during the period of ownership. Sustainable investing, a term used in a similar context to responsible investing, focuses on factoring in sustainability issues during the investment process. Policies on responsible investing may also be integrated within the IPS itself. In the remainder of this reading, the integration of responsible investing within the IPS will be our working assumption.

The Investment Policy Statement

The IPS is the starting point of the portfolio management process. Without a full understanding of the client's situation and requirements, it is unlikely that successful results will be achieved. "Success" can be defined as a client achieving his important investment goals using means that he is comfortable with (in terms of risks taken and other concerns). The IPS essentially communicates a plan for achieving investment success.

The IPS is typically developed following a fact-finding discussion with the client. This discussion can include the use of a questionnaire designed to articulate the client's risk tolerance as well as address expectations in connection with specific circumstances. In the case of institutional clients, the fact finding may involve asset–liability management reviews, identification of liquidity needs, and a wide range of tax, legal, and other considerations.

The IPS can take a variety of forms.[1] A typical format will include the client's investment objectives and the constraints that apply to the client's portfolio.

The client's objectives are specified in terms of risk tolerance and return requirements. These elements must be consistent with each other: a client is unlikely to be able to find a portfolio that offers a relatively high expected return without taking on a relatively high level of expected risk. As part of their financial planning, clients may specify specific spending goals, which need to be considered when setting risk tolerance and return requirements.

The constraints section covers factors that need to be taken into account when constructing a portfolio for the client that meets the objectives. The typical categories are liquidity requirements, time horizon, regulatory requirements, tax status, and unique needs. The constraints may be either internal (i.e., set by the client) or external (i.e., set by law or regulation), as we discuss in detail later.

Having a well-constructed IPS for all clients should be standard procedure for an investment manager. The investment manager should build the portfolio with reference to the IPS and be able to refer to it to assess a particular investment's suitability for the client. In some cases, the need for the IPS goes beyond simply being a matter of standard procedure. In certain countries, the IPS (or an equivalent document) is a legal or

essence an IPS. The UK Financial Services Authority also has requirements for investment firms to "know their customers." The European Union's Markets in Financial Instruments Directive ("MiFID") requires firms to assign clients to categories (eligible counterparties, institutional clients, or retail clients), with the category type determining the types of protections and limitations relevant for the client by law.

In the case of an institution, such as a pension plan or university endowment, the IPS may set out the governance arrangements that apply to the investment portfolio. For example, this information could cover the investment committee's approach to appointing and reviewing investment managers for the portfolio, and the discretion that those managers have.

The IPS should be reviewed on a regular basis to ensure that it remains consistent with the client's circumstances and requirements. For example, the UK Pensions Regulator suggests that a pension scheme's statements of investment principles—a form of IPS—should be reviewed at least every three years. The IPS should also be reviewed if the manager becomes aware of a material change in the client's circumstances, as well as on the initiative of the client when her objectives, time horizon, or liquidity needs change.

Major Components of an IPS

There is no single standard format for an IPS. Many IPS and investment governance documents with a similar purpose (as noted previously), however, include the following sections:

- *Introduction*. This section describes the client.
- *Statement of Purpose*. This section states the purpose of the IPS.
- *Statement of Duties and Responsibilities*. This section details the duties and responsibilities of the client, the custodian of the client's assets, and the investment managers.
- *Procedures*. This section explains the steps to take to keep the IPS current and the procedures to follow to respond to various contingencies.
- *Investment Objectives*. This section explains the client's objectives in investing.
- *Investment Constraints*. This section presents the factors that constrain the client in seeking to achieve the investment objectives.
- *Investment Guidelines*. This section provides information about how policy should be executed (e.g., on the permissible use of leverage and derivatives) and on specific types of assets excluded from investment, if any.
- *Evaluation and Review*. This section provides guidance on obtaining feedback on investment results.
- *Appendices*: (A) Strategic Asset Allocation and (B) Rebalancing Policy. Many investors specify a strategic asset allocation (SAA), also known as the policy portfolio, which is the baseline allocation of portfolio assets to asset classes in view of the investor's investment objectives and the investor's policy with respect to rebalancing asset class weights. This SAA may include a statement of policy concerning hedging risks such as currency risk and interest rate risk.

The sections that are most closely linked to the client's distinctive needs, and probably the most important from a planning perspective, are those dealing with investment objectives and constraints. An IPS focusing on these two elements has been called an IPS in an "objectives and constraints" format.

In the following sections, we discuss the investment objectives and constraints format of an IPS beginning with risk and return objectives. The process of developing the IPS is the basic mechanism for evaluating and trying to improve an investor's overall expected return–risk stance. In a portfolio context, return objectives and expectations must be tailored to be consistent with risk objectives. The risk and return objectives must also be consistent with the constraints that apply to the portfolio. A growing proportion of investors

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

related terms), which reflects environmental, social, and governance (ESG) considerations. Responsible investing recognizes that ESG considerations may eventually affect the portfolio's financial risk–return profile and may express the investor's societal convictions. In this reading, we discuss responsible investing aspects of investment policy, where relevant.

Discuss
Filter
Discussion
What do you want to discuss... (required)

No messages to display

© 2025 CFA Institute. All Rights Reserved.

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search

Home
Study Plan
Lessons
Flashcards
Practice
Mock Exams
Game Center
Discussions
Search